Honeywell Aerospace (HONA)

The pitch in 30 seconds:

2 Stars: HONA is a high-quality aerospace franchise with mission-critical content, a large installed base, recurring aftermarket exposure, and high switching costs. But at today's valuation, I view the stock as fairly priced until management proves it can convert standalone focus into supply-chain improvement, stronger platform wins, and sustained margin expansion, which in turn will lead to an appropriate entry point.

Thesis:

A. **Competitive Advantage**. HONA benefits from a deeply entrenched installed base across Boeing, Airbus, and Business Jets across avionics, controls, and propulsion systems, driving recurring aftermarket revenue and high switching costs. Combined with broad exposure to ramping defense platforms, this creates durable, long-cycle revenue streams that makes HONA structurally difficult to displace.

B. **Profitability**: Aerospace is a structurally high-margin business (~24–28%), with recent ~300bps compression driven by inflation and supply chain inefficiencies that HONA is looking to unwind as a standalone business. I view upper 20s margin as unlikely to sustain, but a margin profile in the mid 20s should be sustainable in the long run if management delivers on their promises.

C. **Growth**: HONA's growth is supported by strong and consistent demand across commercial aerospace and defense, but has been constrained by supply chain inefficiencies, internal execution challenges, and limited capacity from historical underinvestment. As the company invests and implements the Aerospace Operating System, improved throughput and coordination will help accelerate backlog conversion and execution.

D. **Scale**: HONA has content on 90% of commercial aircraft, spec'ed into 300+ defense systems (11/12 MAC priority missile programs), and 47k APUs, giving a level of ubiquity across various end markets. HONA already has huge platform penetration, and with aerospace and defense tailwinds, HONA has an avenue to re-win platforms and attach onto new models.

Brief Company History:

Honeywell Aerospace traces its roots back to Honeywell International, founded in 1906, and developed into a leading supplier of avionics, propulsion, and control systems across commercial and defense aviation. Over decades, the business built deep relationships with major OEMs like Airbus and Boeing, embedding its systems across hundreds of platforms and creating a large installed base that drives long-term aftermarket revenue. As part of Honeywell, the aerospace segment became one of its most important growth engines, benefiting from global aviation expansion and rising defense spending. In 2026, Honeywell completed the spin-off of its Aerospace division into HONA, establishing it as an independent, publicly traded company focused solely on aerospace, with greater flexibility to invest in R&D, scale operations, and drive innovation.

Business Model Description

The company reports across three segments: **Electronic Solutions (39% of revenue), Engines & Power Systems (32%), and Control Systems (30%),** with end market exposure roughly split between **Commercial Aftermarket (44%), Commercial Original Equipment (15%), and Defense & Space (41%).** The business is diversified across 10,000+ customers, with a mix between International and Domestic sales.

1. **Electronic Solutions:** Provides the "brains" of aircraft and defense. Includes sensors, avionics, and navigation tech. These systems are deeply embedded in platforms and drive both upfront sales and long-term aftermarket revenue.
2. **Engines & Power Systems:** Designs and produces small jet engines (for business planes), auxiliary power units (APUs) and systems that generate power for aircraft in flight and on the ground. This segment has longer product cycles and a large installed base that supports recurring maintenance and service revenue.

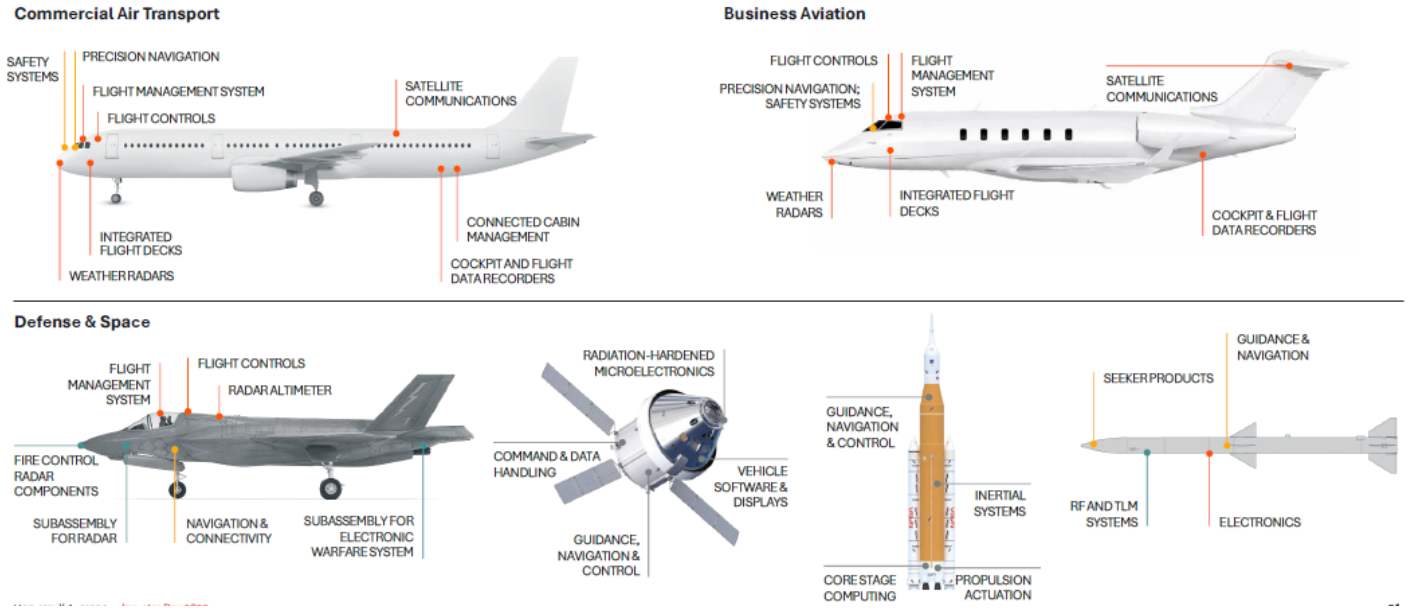
3. **Control Systems:** Mechanical and Electronic systems that control aircraft functions such as steering, braking, and flight surfaces. The components are mission-critical, highly engineered, and tightly integrated, which helps create high switching costs and demand across commercial and defense platforms.

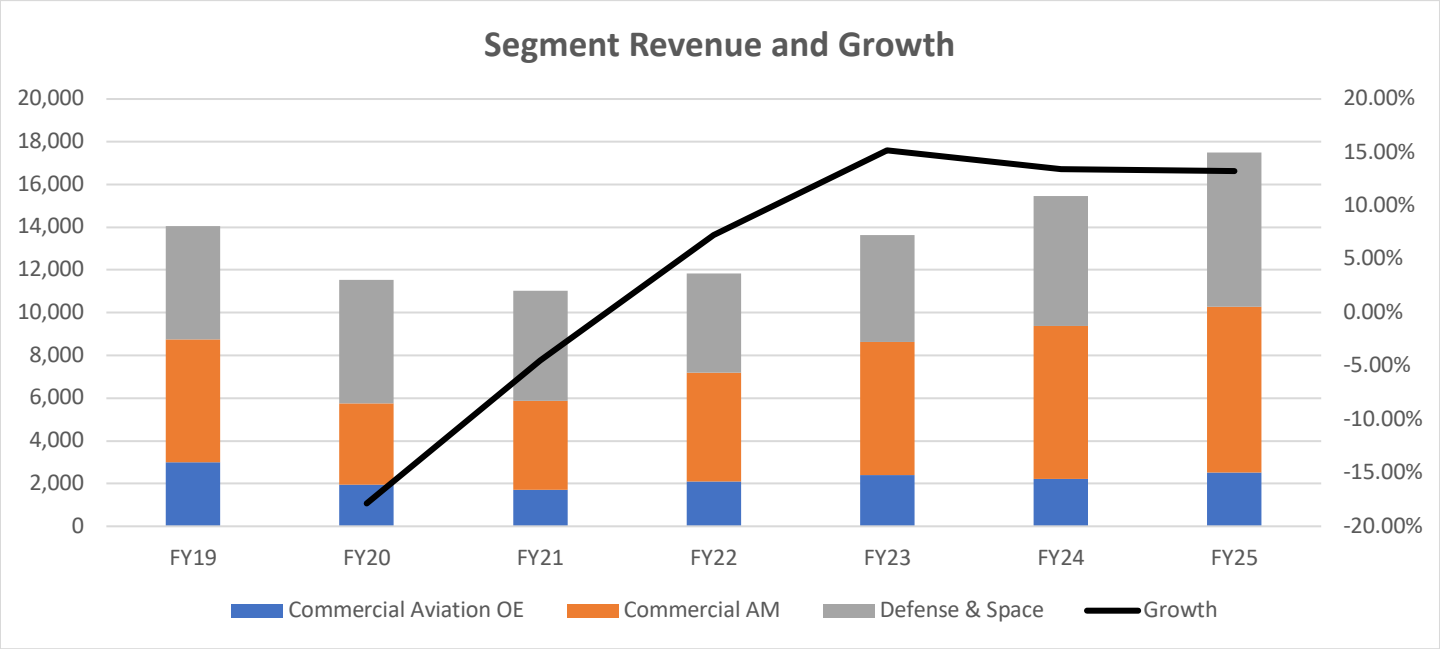
1. **Commercial Aftermarket:** Recurring revenue from servicing and upgrading existing aircraft, including RMU (Retrofit, Modification, Upgrade). Tends to be higher margin and benefits from a large installed base.
2. **Commercial Original Equipment:** Selling systems directly to aircraft manufacturers for installation on new airplanes. More cyclical but critical for long-term platform exposure and aftermarket revenue.
3. **Defense & Space:** Mission-critical systems to contractors and governments for military aircraft, munitions, and space programs. Roughly 50/50 breakdown between Domestic and International revenue.

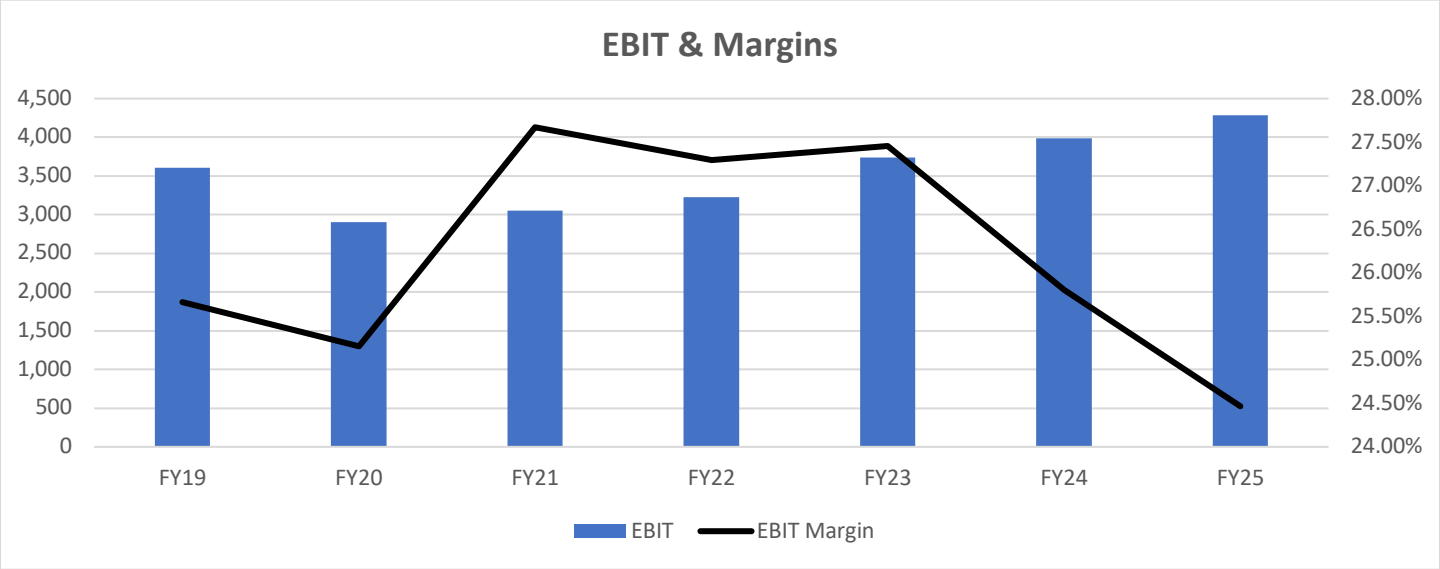
Customer Base/Key Customers:

On the commercial side, HONA is deeply embedded in manufacturers such as Bombardier, Boeing, and Airbus (~15–20% content on Airbus civil aircraft programs), with global air travel demand growing at a mid-single-digit rate. While HONA has lost share to Collins on key avionic components on the 737 and 787, HONA still maintains key components and products on the plane and continuously iterates its products to anticipate fitting components onto next gen models.

In defense, its primary customer is the Department of War, which procures for domestic production and acts as an intermediary for Foreign Military Sales. Defense spending is projected to grow at ~5% and ~7% CAGR for U.S. and international markets, respectively, with a global munitions shortage helping drive the spending.







Margins expanded from 25% to a 27.7% peak in FY21-FY23 as high-margin aftermarket rebounded faster than OE post-COVID, driving favorable mix and pricing leverage. Margins have since compressed to 24.5% as defense and OE growth outpaced aftermarket and supply chain constraints capped AM volume

Investment Thesis Detail

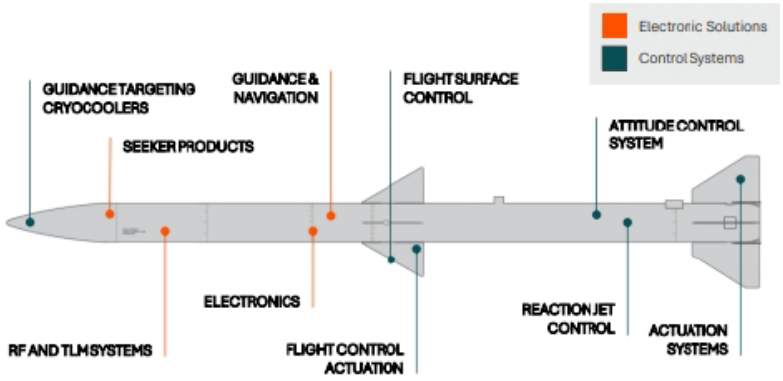
CONCLUSION: HONA is well-positioned with its diversified products and end markets, making the business structurally hard to displace. Deep, long-standing OE and defense relationships have made HONA a de-facto supplier, which is why it operated as the revenue and margin engine within the legacy HON structure. That entrenchment is exactly what makes it a quality business, and eventually a stock I would own.

With the spin-off, HONA has set a clear path to compounding, and being able to execute will result in the thesis playing out: I want to see new platform wins, R&D productivity on new technology, and supply-chain both at the supplier and factory level come through before I pull the trigger. Until that proof shows up in the following quarters, HONA is a fairly priced quality business that is not yet a compelling stock, which is why I give it 2 stars.

What makes HONA a Quality Business:

1. **Entrenched Player with Mission-Critical products:** HONA is deeply embedded into end markets. In end markets where safety, reliability, and consistency takes precedence, HONA has a decades-long track record of being the go-to supplier.
   - i. HONA content sits on **90% of in-service aircraft globally**, and is spec'd into **250+ in-production A&D platforms,** with **90% of global aircraft** using HONA avionics and navigation systems and **75% of commercial flights** beginning with a HONA engine start system. Their content is wide-ranging and ubiquitous across all types of aircraft.
   - ii. On propulsion, HONA supports **~20k propulsion engines and 47k APUs across ~120 aircraft types,** anchored by franchise products such as the HTF7000 super-midsize bizjet engine, 131 Series APU, and the T55 military helicopter engines. Their firm entrenchment in bizjet propulsion and APUs puts HONA as the "one major dominant player" in these two areas.
   - iii. In Defense & Space, HONA has content on **300+** platforms and **11/12 MAC Priority Missile programs,** and is the sole-sourced position across **80%** of the Electromagnetic Defensive Solutions portfolio. Missile producers like LMT and RTX tend to stick with the same suppliers, which locks HONA in.

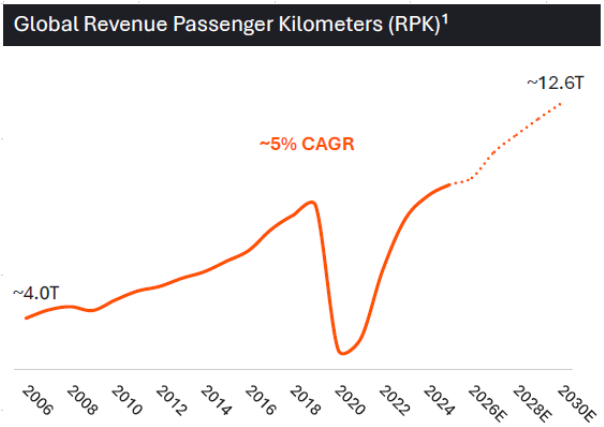
Figure 17 - Where/how HONA plays on a missile

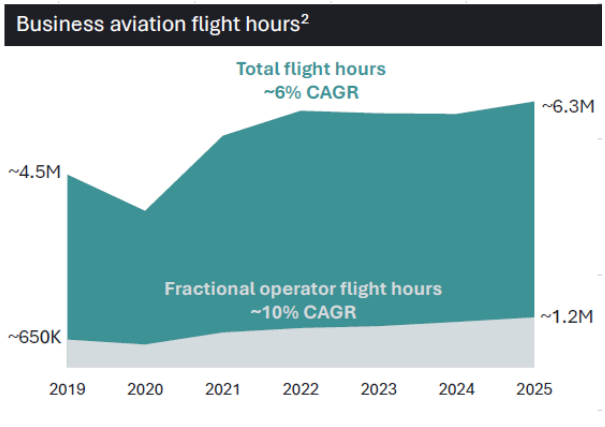


Source: Company report

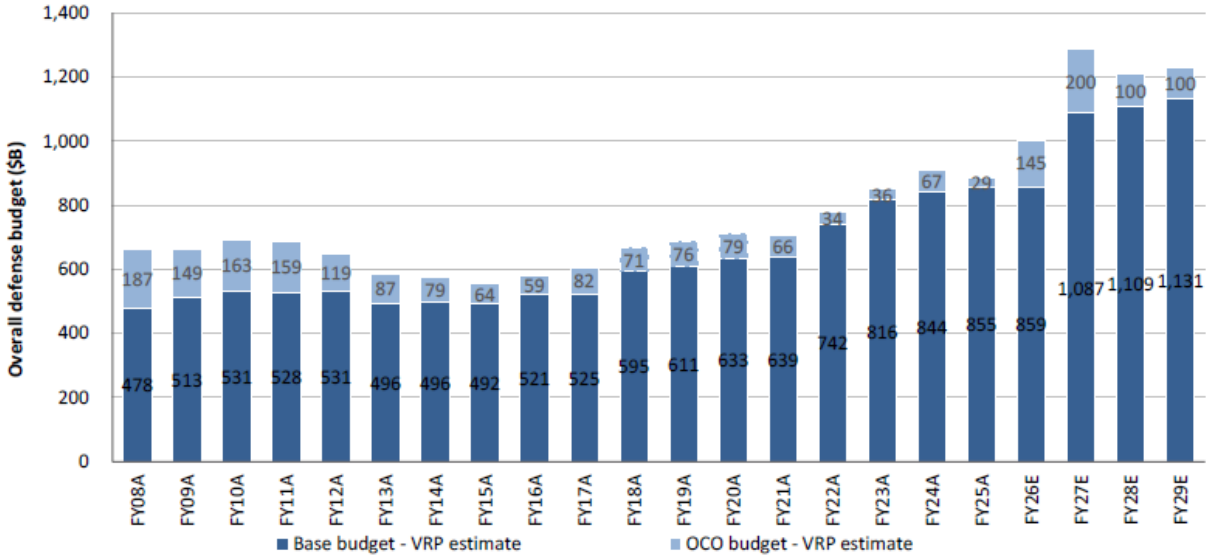
   - iv. The OE base paves the way to a lucrative, high-margin aftermarket business. The **65k** commercial aircraft OE base underpins a **$7.7bn** aftermarket business, with narrowbody **APU** aftermarket generating **20x** the initial OE sale over the platform lifetime.

2. **Commercial and Defense Tailwinds:** Air travel and defense spending continue to grow at durable, above-GDP rates. In end markets where demand is anchored by structural drivers like global mobility, munitions restocking, and international rearmament, HONA is positioned to convert these tailwinds into top-line growth.
   - i. Global revenue passenger kilometers (RPKs) are projected to grow at a **5%** CAGR through 2030 due to urbanization and middle-class mobility, with commercial flight hours reaching **101mm by 2030 (82mm in 2025).** Business aviation flight hours and fractional hours are growing at **6%** and **10%** CAGR, respectively, sustaining the above-industry aftermarket demand where HONA has a stronghold.

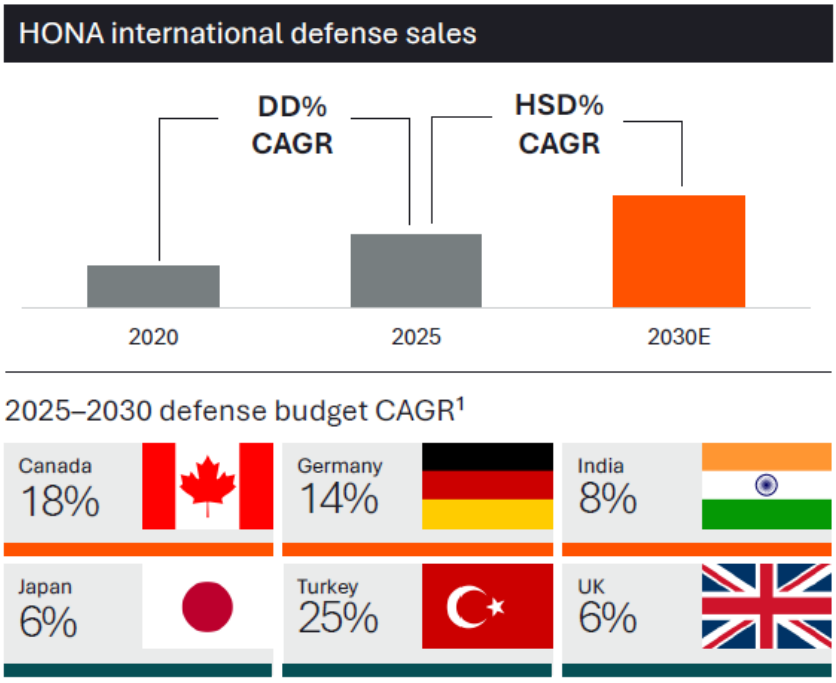




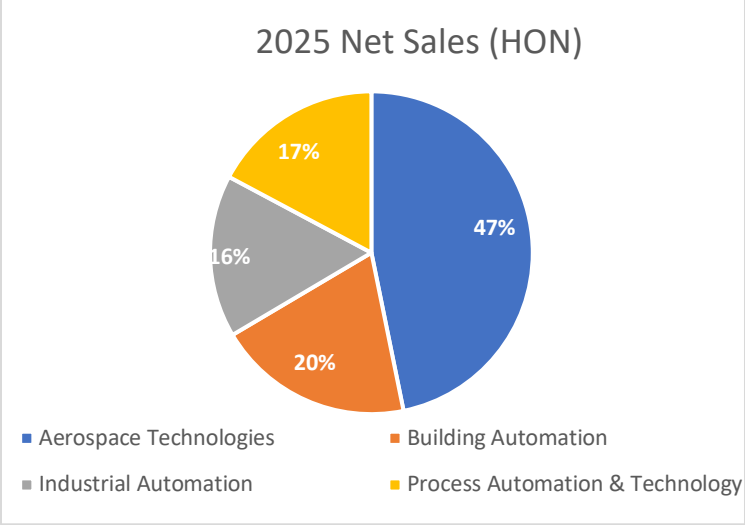
ii. With stockpile replenishment demands and escalating global security challenges, there are expectations for DD growth for global missiles. In the U.S., the Department of War is moving into multi-year frameworks targeting **2-4x production expansions** on priority munitions, where HONA supplies parts on **11/12** of the Munitions Acceleration Council's priority list. Internationally, defense budgets are growing even faster (**+7% CAGR through 2030**) as NATO and allied countries bolster capabilities, an area where HONA is well-positioned with **~30% international direct sales and ~20% FMS mix within defense**. Combined with the fact that missile component supplies are rarely displaced due to demand pressure and product sensitivities, this creates a sticky, visible ramp for HONA's defense franchise.



Source: DoD and Vertical Research Partners



3. **Dedicated business improvement without the bloat of HON:** As part of the Honeywell conglomerate, HONA was arguably their most valuable business which incentivized capital and R&D underinvestment to protect group-level numbers, leading HONA to lag vs. peers. As a standalone, HONA can now deploy capital surgically to unlock throughput, after-market growth, and new products.
   i. HONA was a key player in the Honeywell Conglomerate **(46.8% of revenue, 49.4% of segment profit, 2nd highest segment margin)**, with underinvestment and poor prioritization in Honeywell resulting in lagged segment growth (**12% vs 15% peers 2019-2025).** This was evident across all their lines vs. peers, with commercial, aftermarket, and defense at **11%, 19%, and 6% vs 18%, 21%, and 10%, respectively** (GE, HWM, RTX, RR, WWD), and also evident in platforms, with HONA having less content on the 787/737 Max planes vs their predecessors.



   ii. Post-spin off, R&D will now be deployed surgically and at higher levels. As part of the conglomerate, R&D was constrained by group-level management, forcing HONA investments to be spread too thinly. HONA's company funded R&D from 2023-2025 was **3.7%, 3.7%, and 3.9%,** with management targeting to **4%** of net sales in the near term. HONA has laid out priorities, with **65%** towards Committed and Contracted Development, **15%** to

Retrofits, Modifications, and Upgrades (RMUs), and **10%** toward advanced technology to help HONA advance their current portfolio.

iii. Focused R&D reinforces the "develop once, deploy everywhere" model and accelerates RMU growth, supporting long-term margin durability. By concentrating investment on core technologies that can be adapted across multiple end markets and platforms, HONA improves R&D ROI, shortens time-to-market, and expands its addressable market from a common technology base. This same approach underpins the fast-growing RMU portion of the aftermarket **(~18% CAGR 2021–2025, ~14% 2026–2027E**), with **40+ new RMU** programs currently in development — giving HONA another high-margin growth lever that is decoupled from flight hours and new aircraft deliveries.

RISK CONSIDERATIONS

1. **Company Execution Risk:** HONA has never operated as a standalone public company, meaning new corporate functions (investor relations, treasury, external reporting, board oversight, tax, and legal) will need to be stood up alongside a dedicated management team for the first time. While the leadership team is experienced and has been running aerospace under the HON umbrella for years, the transition creates near-term execution risk on multiple fronts, including building new capabilities from scratch, absorbing incremental standalone costs, and successfully executing the Honeywell Aerospace Operating System rollout to unlock the past-due backlog.
2. **Inflation/Shortages of Materials:** The cost of raw materials is a key element in the overall cost of products (Nickel, steel titanium, etc), and inability to source the necessary materials or having to source them at a higher price due to inflation/bottlenecks will pass through to their Fixed Price contracts, which was evident post-COVID. Shortages of material and/or inflation can result in margin pressure and costs being passed down to customers.
3. **Investment & Operating System Execution:** A core pillar of the spin-off thesis is that HONA can now deploy capital more surgically into R&D, supply chain, and new platform wins while executing more efficiently through the Honeywell Aerospace Operating System. If those investments fail to translate into new product wins, RMU acceleration, or throughput improvements, or if execution takes longer than management has laid out, HONA risks continued margin compression, stalled growth relative to peers, and delayed backlog conversion. Any slippage in the near-term execution roadmap could push out the earnings power thesis and pressure the multiple.
4. **Share Loss on Next-Gen platforms:** HONA has been through this cycle before, losing meaningful avionics and systems content to Collins Aerospace and Hamilton Sundstrand (now RTX) on the 787 and 737 MAX programs 15+ years ago — a share loss whose aftermarket drag is only fully manifesting now as older, higher-HONA-content aircraft retire and the newer, lower-content platforms age into their aftermarket peak. The same dynamic could repeat on the next clean-sheet single-aisle or widebody, and given aerospace platform lives of 25–30+ years, any content loss at OE effectively locks HONA out of decades of high-margin aftermarket revenue on that program.
5. **Defense/Geopolitical:** HONA's defense franchise is anchored by rising U.S. and allied defense budgets, munitions restocking, and multi-year framework agreements that provide visibility into production ramps. However, any budget shortfall, U.S. government shutdown, delayed appropriations, or shift in defense priorities (both domestic and international) could delay contract awards, slow procurement, and impact HONA's ability to convert its defense backlog into revenue. HONA is also more internationally exposed than most defense peers, which introduces additional risk from FX, sovereign spending decisions, export controls, and geopolitical shifts in NATO or allied procurement priorities.

Valuation: I put together different scenarios based on HONA meaningfully capturing platform wins from industry tailwinds and working through their past dues. As it stands, I think HONA either needs to outperform their own expectations or have a meaningful pullback from the current price for the stock to make sense. (Using $224 Share Price)

Base Case: $227, 1.61% Upside

- Average of DCF (9/3 Exit), multiples valuation 25x FY' 27 PE,
- MSD/HSD growth (Revenue CAGR ~8%) and margin growth/expansion roughly in line (2030 Adjusted EBIT ~6.7bn) with management expectations
- ***This is a good business, but not yet a compelling stock at current levels. My concern is HONA may need to establish a track record of proof before the market rewards it, and my base case essentially shows fair value. I want to own it when the "show me" narrative starts converting — meaningful past-due burn-down***

from supply chain improvement and new platform wins are the triggers that move the setup from fair value toward my bull case at ~$362. Until those show up, I'd rather wait for a pullback on current price.

Bull Case: $362, 61.65% Upside

- Average of DCF (9/5 Exit), multiples valuation of 30x FY'27 PE
- Revenue CAGR close to ~10% (above management), above projected EBIT expansion speed (2030 Adjusted EBIT ~7.8bn), higher platform win share that drives LT AM growth.
- ***In the bull case, HONA outgrows management's plan as standalone focus, R&D productivity, and supply-chain unlock translate into new platform wins — expanding the aftermarket installed base and giving HONA a defensible reason to trade at a premium. Specifically, I see them regaining shares in Supplier Furnished platform wins and unlocking their $2bn Past-Due faster than expected, which are key indicators of performance. This is the scenario where "quality business" becomes "compounder" and the multiple re-rates accordingly.***

Bear Case: $172, -23.04% Downside

- Multiples valuation of 17x FY'27 PE
- Low end of Revenue CAGR projections (~6.3%) and EBIT margin underperforms (Adjusted EBIT ~5.3bn) as HONA installed base diminishes faster than expected
- ***In the bear case, standalone focus doesn't fix the underinvestment problem; R&D fails to win generational content, supply-chain issues linger, and HONA's aging installed base rolls off faster than new wins can replace it. Topline growth slips to LSD-MSD, aftermarket margins compress, and the multiple contracts toward the low end of the aerospace supplier group as the market underwrites HONA as a "value trap" rather than a compounder.***

Conclusion:

I see HONA as a high-quality business with structural aftermarket exposure and best-in-class defense/space content, but there needs to be evidence that leads to accelerated margin expansion before re-rating the multiple. Collins (11.3% to 16.3% over 5 years on ~25-30% aftermarket increment and pricing power) and Howmet (~12% to 25% on engine spares mix and operating leverage) have both proven that sustained EBIT expansion is achievable in aerospace when aftermarket mix, pricing on captive installed base, and volume increase— and I think HONA has the potential to follow suit if management executes.

My key watch items are: **(i) supply chain unlock — specifically, meaningful burn-down of the $2B past-due backlog driven by an expanded raw materials supplier base, factory automation, and second-source qualifications, (ii) R&D productivity converting new technology (Anthem, Assure, and Attune) into generational content wins that expand the aftermarket annuity, and (iii) supplier furnished platform re-wins that reverse the prior-gen content losses to Collins on the 787 and 737 MAX.** If HONA can show progress on these items, I believe it can re-rate as a compounder; until then, I would rather wait for a pullback before building a position.